Morgan Stanley | RESEARCH

UPDATE

November 11, 2026 10:26 AM GMT

ASMedia Technology Inc | Asia Pacific

Inventory correction extends into 1Q27

AlphaSignals Earnings Reaction

Unchanged	**In-line**	**Largely unchanged**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 3Q revenue of NT$2.66bn (-2% Q/Q, -33% Y/Y) was 39% below MSe
- GM rose 1.3ppt Q/Q to 51.6%, 0.4ppt below MSe, helped by proprietary mix and NRE
- 3Q EPS of NT$26.60 was 11% above MSe, supported by net non-operating income of NT$1.46bn

Inventory adjustment extends into 1Q27. Management sees improving motherboard sell-through, but expects customer destocking to constrain shipments in 4Q26–1Q27. AM4 exceeded 70% of chipset shipments in 3Q and should remain dominant in 4Q, weighing on ASPs. Management indicated GM of around 50% in 4Q26–1Q27 as foundry and backend costs rise; alternative packaging/testing sources should begin helping from 2Q27. October's stronger proprietary mix provided some relief, but 2027 revenue guidance remains unfinalized, with 20% growth now considered aggressive.

Recovery likely depends on execution from 2H27. ASMedia signed a new SOW with the customer and currently sees itself as the sole supplier. Management hopes shipments will start in 2Q27, with meaningful platform volume from 3Q27; ASPs would be at least 50–60% above AM4. PCIe switches contributed 6–8% of revenue after Gen4 yield and thermal issues delayed design-ins, versus a double-digit mix target for 2027. USB4 is expected to more than double from 2026's depressed base, although robotics remains small. New products can support recovery, but higher development spending limits near-term operating leverage.

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ASMedia Technology Inc (5269.TW, 5269 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Underweight**
Industry View	**Attractive**
Price target	NT$1,482.00
Up/downside to price target (%)	24
Shr price, close (Nov 11, 2026)	NT$1,195.00
52-Week Range	NT$1,660.00-1,040.00
Sh out, dil, curr (mn)	74
Mkt cap, curr (mn)	NT$88,842
Avg daily trading value (mn)	NT$1,506

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	73.33	95.89	76.27	94.84
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	72.01	95.89	109.00	150.40
Revenue, net (NT$ mn)	13,415	11,964	13,315	16,375
EBITDA (NT$ mn)	4,472	3,242	4,454	5,891
ModelWare net inc (NT$ mn)	5,426	7,130	5,661	7,038
P/E	16.5	12.5	15.7	12.6
P/BV	2.5	2.2	2.0	1.8
ROE (%)	16.2	19.7	13.8	15.8
EV/EBITDA	15.1	18.2	12.5	8.7
Div yld (%)	4.1	5.5	4.4	5.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

ASMedia Technology Inc (5269.TW)

Base case, residual income model. Key assumptions: cost of equity of 9.8% (beta 1.3, risk-free rate 2% and risk premium 6%), medium-term growth rate of 8.0%, payout ratio of 75% and terminal growth rate of 5.2%.

Risks to Upside

- AMD gains market share thanks to better-than-expected performance.
- In-house designed products grow faster than expected.
- US-China tensions improve and US tariffs alleviate.

Risks to Downside

- AMD cannot get substrate supply, causing earnings downside for ASMedia.
- Intel adopts TSMC's technologies more aggressively to compete with AMD.
- Spec migration on USB 4 is slower.

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(as of October 31, 2026)
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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

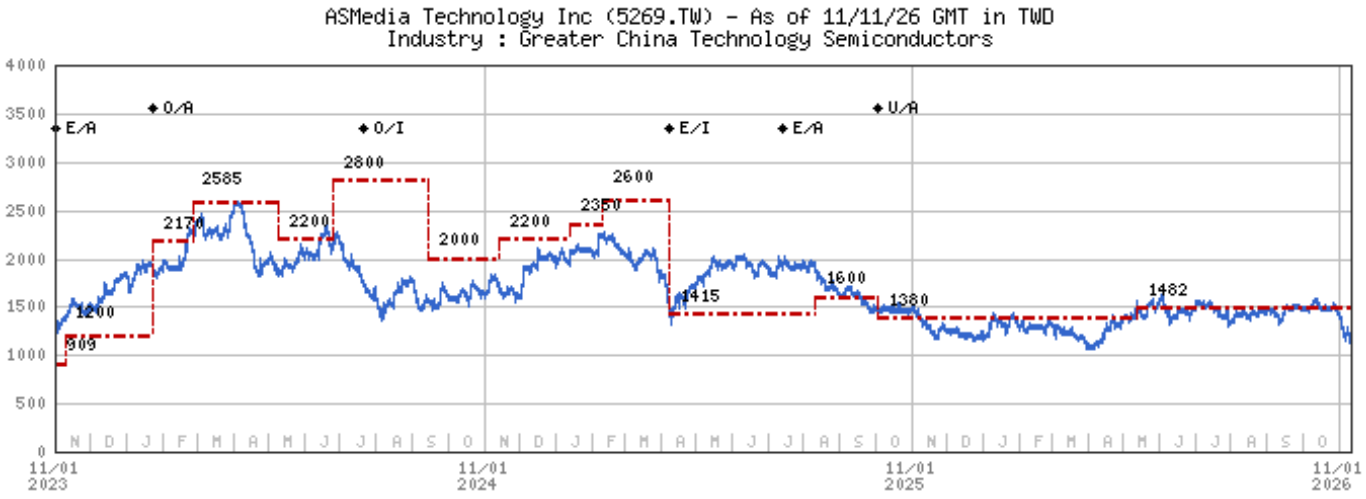
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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 11/1/21 : O/C; 10/4/22 : O/A; 2/22/23 : O/I; 5/30/23 : E/I; 7/7/23 : E/A; 1/23/24 : O/A; 7/21/24 : O/I; 4/8/25 : E/I; 7/14/25 : E/A; 10/3/25 : U/A

Price Target History: 10/8/21 : 2000; 4/8/22 : 2400; 6/6/22 : 2050; 7/12/22 : 1350; 8/8/22 : 1250; 9/13/22 : 1000; 10/18/22 : 818; 2/22/23 : 1175; 3/30/23 : 1320; 5/30/23 : 1240; 7/21/23 : 1030; 8/9/23 : 909; 11/9/23 : 1200; 1/23/24 : 2170; 2/26/24 : 2585; 5/9/24 : 2200; 6/25/24 : 2800; 9/15/24 : 2000; 11/14/24 : 2200; 1/13/25 : 2350; 2/10/25 : 2600; 4/8/25 : 1415; 8/11/25 : 1600; 10/3/25 : 1380; 5/13/26 : 1482

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/11/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$104.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,650.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$617.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb900.00
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb42.07
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,885.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$435.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$75.15
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$72.30
MediaTek (2454.TW)	O (11/28/2025)	NT$3,990.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb523.00
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$394.00
Phison Electronics Corp (8299.TWO)	U (11/11/2026)	NT$1,730.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb85.48
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$467.50
SMIC (0981.HK)	O (10/21/2025)	HK$49.00
TSMC (2330.TW)	O (02/07/2022)	NT$2,395.00
UMC (2303.TW)	O (05/19/2026)	NT$104.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$138.50
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$521.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$101.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb49.38

Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb90.73
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb24.44
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb196.35
Innoscience (2577.HK)	E (10/13/2025)	HK$28.24
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb54.40
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$24.40
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb83.93
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb84.63
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb71.52
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb52.34
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb19.78
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb77.26
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$733.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,195.00
Aspeed Technology (5274.TWO)	E (11/10/2026)	NT$12,555.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$83.30
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$117.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,265.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb175.32
GigaDevice Semiconductor Beijing Inc (603986.SS)	E (11/11/2026)	Rmb259.62
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$8.54
Macronix International Co Ltd (2337.TW)	E (11/11/2026)	NT$82.70
Montage Technology Co Ltd (6809.HK)	E (11/10/2026)	HK$195.50
Montage Technology Co Ltd (688008.SS)	E (11/10/2026)	Rmb162.86
Novatek (3034.TW)	U (02/04/2026)	NT$481.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$107.00
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$412.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	E (11/11/2026)	NT$58.50
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$763.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb61.28
Silicon Motion (SIMO.O)	O (05/06/2024)	US$169.01
Winbond Electronics Corp (2344.TW)	E (11/11/2026)	NT$136.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT$91.70
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$194.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$48.67
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb250.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb55.93
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb547.91
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb86.77
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,015.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$410.00
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$635.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$4,335.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$231.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,480.00

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